

How Shipping Paralysis is Quietly Rewiring Commodity Markets

Much of the market story over the last three weeks has been on oil, with Brent rising above \$100 and politicians trying to reopen the Strait of Hormuz. However, this framing ignores the more important change. What is happening is not just an energy shock, but a disturbance in the movement of commodities themselves. The effective shutdown of Hormuz has revealed a more fragile reality: global supply systems fail not because manufacturing ceases, but when transportation becomes unreliable, uninsurable, or simply impossible.

The Strait transports almost one-fifth of world oil and gas, but it also transports intermediate commodities, chemicals, and inputs that support industrial production. As shipping firms cease routes, declare force majeure, and dump goods at other ports, the system fragments rather than collapses. Cargoes are being redirected to India, East Africa, and Southeast Asia, ports are congested, and prices are cascading down supply chains in ways that are just now becoming understood.

Shipping as the Binding Constraint

This crisis is defined by logistical paralysis rather than supply destruction. Container shipping has effectively reached what industry

players refer to as the "wild west" era. Freight charges into the Gulf have increased dramatically, war-risk insurance premiums have risen, and shipping companies have begun dumping cargo at the nearest feasible ports, forcing customers to sail the remaining leg themselves.

This is a crucial shift. Shipping is sometimes viewed as a passive conduit for trade, but it really serves as the operating system of globalisation. When that system becomes uncertain, trade does not automatically redirect. Instead, it slows, fragments, and becomes much more costly. Around 90% of global products go by water, and even minor disruptions at chokepoints like Hormuz cause bottlenecks that spread across continents.

The end outcome is a cascade of second-order consequences. Alternative centres like as Mumbai and Singapore are experiencing increased congestion, longer wait times, and equipment shortages. Even while routes are nominally available, the lack of insurance coverage and the risk to personnel make them commercially useless. In this setting, the restriction is no longer supply, but rather the desire and capacity to transfer it.

Aluminium

This is especially evident in aluminium markets, where the move from risk to actual disruption has been swift. The Middle East contributes for over 10% of global aluminium output, but its smelters rely on steady inputs of alumina and electricity. With shipping routes interrupted and supplies often covering only a few weeks, production cutbacks are no longer an option.

Smelters around the Gulf have already halted shipments and declared force majeure, with several operations facing complete shutdowns. This demonstrates the highly interconnected structure of contemporary metals manufacturing. Aluminium is not simply mined and shipped; it is part of a continuous chain of inputs and outputs, all of which depend on prompt delivery. When shipment breaks down, the chain unravels swiftly.

Even if transit via Hormuz restarts, aluminium markets may take much longer to normalise. Unlike oil tankers, containerised metal flows rely on network balance and equipment location, both of which have already been affected. This creates a delayed tightening effect, in which supply restraints linger long after the original shock.

Sulphur and the Hidden Supply Chain

While aluminium symbolises the obvious edge of disruption, the more relevant narrative is in commodities that markets prefer to overlook. Sulphur, a byproduct of oil and gas processing, has emerged as a major bottleneck with far-reaching consequences.

The Gulf accounts for around 45% of global sulphur exports, and with ships virtually suspended, prices have risen while physical commerce has paused. This is important not because sulphur is valuable, but because it is required in the process. It is utilised in fertilisers, chemicals, semiconductor fabrication, and, most importantly, metal leaching, including copper and nickel.

This causes a layered supply shock. Disruptions in sulphur shipments are already affecting fertiliser markets, creating worries about food security, but the indirect consequences on metals are just beginning to emerge. Copper production in locations like the Central African Copperbelt is strongly reliant on sulphuric acid, and when supplies tighten, production costs and output hazards rise.

In this sense, the shock spreads not linearly, but systemically. A disturbance in a small chemical sector spreads through metals, agriculture, and even technology supply chains, demonstrating how interdependent these systems have become.

The China domestic sulphur price has jumped

'000 Chinese yuan per tonne



Source: Argus Media

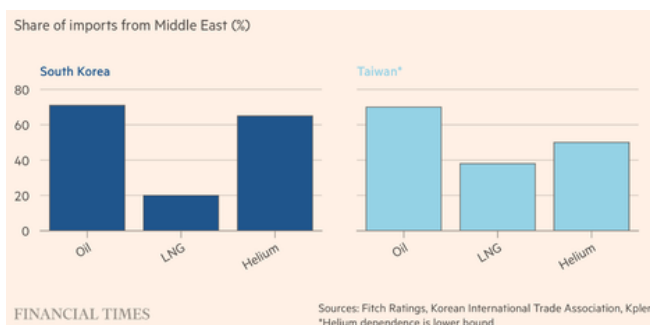
From Metals to Microchips

These upheavals have far-reaching implications for modern manufacturing, in addition to traditional commodities markets. Semiconductor manufacture, which is sometimes viewed as geographically centred in East Asia, remains heavily reliant on Middle Eastern supplies.

Qatar produces nearly one-third of the world's helium, which is used to cool silicon wafers. sulphur derivatives are utilised in wafer cleaning and etching, whereas bromine, which is mostly supplied from the Dead Sea, is essential for chip production. These inputs pass through the same limited shipping routes that are currently under pressure.

At the same time, energy dependence exacerbates the shock. Semiconductor centre like South Korea and Taiwan rely on imported LNG, much of which goes via Hormuz. As energy and input costs grow at the same time, chip production's economics degrade, injecting inflationary pressure into one of the world's most strategically essential industries.

What starts as a shipping interruption in the Gulf eventually spreads to the cost of AI infrastructure, consumer goods, and industrial gear, supporting the notion that contemporary supply chains are just as resilient as their weakest link.



Freight, Fuel, and the Inflationary Feedback Loop

Rising freight and gasoline prices exacerbate these challenges. Tanker rates out of the Gulf have risen, container shipping costs into the area have increased, and fuel surcharges are now accounting for a larger portion of logistical costs. Diesel prices have risen substantially, directly affecting transportation costs on both marine and land-based networks.

This generates a feedback loop. Higher energy prices enhance transportation expenses, which raises the cost of moving goods, further reducing supply and driving prices up. The longer the interruption lasts, the more these cost pressures integrate into global inflation dynamics.

Importantly, the impacts are not uniformly distributed. While certain routes, notably those across the Pacific, remain largely unaffected for the time being, the Indian Ocean and Gulf-linked networks are under extreme stress. These localised disturbances, however, have the potential to spill over into larger trade flows when equipment mismatches and bottlenecks spread across the system.



Movement, Not Production, Defines the Shock

The fundamental conclusion from the current crisis is that commodities markets are driven mostly by mobility limitations rather than resource shortages. This difference is essential. Production can often adjust, stockpiles may absorb short-term shocks, and new suppliers can arise. However, when the infrastructure connecting these units fails, the entire system lags.

Oil remains a market emphasis because it is visible, liquid, and can be valued promptly. However, the more serious disruption is taking place in less apparent areas: in shipping lanes that are no longer feasible, in chemicals that silently support industrial operations, and in supply

networks that rely on consistent, predictable flow.

If the Strait of Hormuz stays limited, the ramifications will go far beyond oil markets. Industrial metals, fertilisers, and advanced manufacturing inputs will encounter tighter circumstances, not because they cannot be produced, but because they cannot be transferred efficiently on a large scale. In that regard, this is more than simply an oil shock. It's a logistical shock, and the consequences are just starting to be calculated.

– Pranav Sharma

*Vice Head of Alternate Investments,
Head of Commodities*

Natural Gas and the Impact of The Middle East Conflict

Natural gas is a fossil fuel formed from organic matter compressed beneath rock deposits over millions of years. Its primary component is methane (CH₄). In addition to methane, natural gas contains small amounts of hydrocarbon gas liquids and non-hydrocarbon gases.

The Middle East plays a central role in global energy markets, accounting for approximately 30% of global oil production and 17% of global natural gas production. These resources underpin the economies of many regional states and supply energy to markets worldwide.

As of early 2026, these long-standing vulnerabilities have been dramatically exposed by the outbreak of the US-Israel war on Iran, which began on 28 February 2026. The conflict has triggered the largest single supply disruption in the history of the global oil and gas market, prompting analysts to call it the gravest energy shock of modern times.

Indicator	Pre-War (Feb 2026)	Current (March 2026)	Change
US Average Gas Price (per gallon)	\$2.92	\$3.70+	+~80 cents
Henry Hub Natural Gas (futures)	Baseline	+5.1%	Spiking
European Gas Benchmark (TTF)	Baseline	+50%	Crisis levels

Figure 1: Selected energy market indicators before and during the 2026 Iran war. Sources: AAA, Bloomberg, AFP, Northeastern University analysis.

The Globalisation of Natural Gas

Historically, natural gas markets were regional due to reliance on fixed pipeline infrastructure. The development of liquefied natural gas (LNG) has since transformed gas into a

globally traded commodity, allowing it to be transported across oceans and linking Europe, Asia, and North America into a single interconnected market.

While this has improved energy security and flexibility, it has dramatically increased exposure to geopolitical risk. Countries controlling major reserves or key transit routes can exert outsized influence over importing nations. The Middle East, home to both massive reserves and critical maritime chokepoints, sits at the centre of this vulnerability. The 2026 conflict has made this structural fragility impossible to ignore.

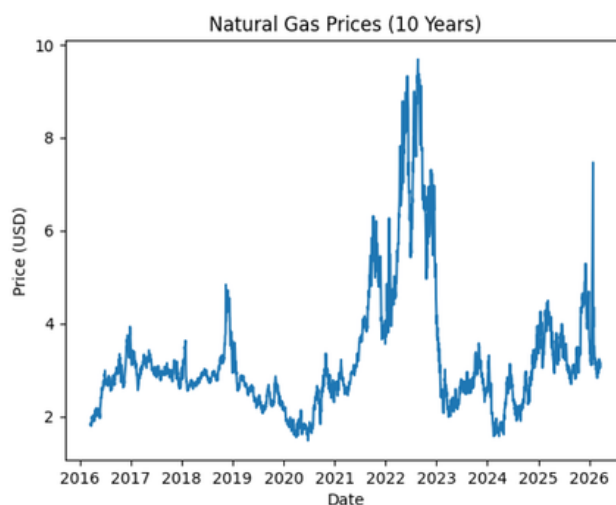


Figure 2 10 Year Gas Price

The 2026 US–Iran War: Timeline and Energy Impacts

The conflict began on 28 February 2026 when the US and Israel launched coordinated military strikes on Iran. Iran responded by closing the Strait of Hormuz and launching retaliatory drone and missile strikes across Gulf energy infrastructure.

The resulting disruption has been described by the International Energy Agency (IEA) as the most severe energy shock in history, with volumes of gas cut off estimated at twice the amount Europe lost from Russia in 2022.

Key Infrastructure Strikes

Date	Event	Energy Impact
28 Feb 2026	US–Israel strikes on Iran begin (Op. Epic Fury)	Strait of Hormuz effectively closed; tanker traffic collapses
2 Mar 2026	Iranian strikes on Ras Laffan and Ras Tanura	Qatar LNG suspended; Gulf oil output –6.7 mb/d
Early Mar 2026	Brent crude tops \$100/barrel	First time since Russia–Ukraine war (2022)
8 Mar 2026	Gulf oil production down 10 mb/d vs March 2025	
18 Mar 2026	Israel strikes South Pars gas field (Iran/Qatar)	European gas benchmark +6%; Asian LNG +40%
19 Mar 2026	Iran strikes Ras Laffan again; extensive damage	17% of Qatar LNG offline for up to 5 years; force majeure declared
19 Mar 2026	Brent crude rises to \$107–116/barrel	Henry Hub natural gas futures +5.1%; markets in turmoil

Figure 3: Key energy infrastructure events during the 2026 US–Iran War. Sources: CBS News, NBC News, Al Jazeera, Bloomberg, AFP.

Impact on Natural Gas Prices

1. Supply Disruptions

The region contains some of the world's largest gas reserves, including the North Field (Qatar) and South Pars (Iran), together forming the largest natural gas deposit on Earth, estimated to hold 1,800 trillion cubic feet of usable gas, enough to supply global needs for 13 years.

South Pars alone produces 730 million cubic metres of gas per day, supplying approximately 70–80% of Iran's domestic gas consumption and underpinning Qatar's 77 million tonnes per year of LNG exports, roughly one-fifth of global LNG supply. Strikes on these facilities, combined with the Hormuz blockade, have created an unprecedented simultaneous shock to both upstream production and downstream export capacity.

Wood Mackenzie assessment: Analysts at Wood Mackenzie stated that attacks on Ras Laffan 'fundamentally reshape the global LNG outlook,' with disruption to natural gas supply now expected to last longer than two months. Qatar's LNG production is not expected to fully resume before June–July 2026 at the earliest.

2. The Strait of Hormuz

The Strait of Hormuz is only 21 miles wide at its narrowest point, yet it is the single most critical chokepoint for global energy supply. Approximately 20% of global oil supplies and significant LNG volumes transit this route daily.

Since the start of the conflict, Iran has effectively blockaded the Strait. The amount of oil passing through has fallen to less than 10% of pre-war levels, according to reports citing AFP data. Around 200 tankers have been left stranded or redirected. Insurance companies, including Lloyd's of London, have responded by imposing war-risk exclusions on Gulf energy infrastructure, with war-risk premiums for Hormuz-transiting vessels multiplying tenfold.

3. Price Volatility and Market Reactions

Markets reacted with extraordinary speed. Within a week of the conflict beginning, Brent crude had risen 28%, with US crude up 36%. Brent subsequently crossed \$100 a barrel on 8 March 2026, the first time since Russia's invasion of Ukraine in 2022, before spiking to \$116 in the wake of the South Pars strikes.

In the gas market specifically, European benchmark prices (TTF) rose approximately 50% and Asian LNG spot prices approximately 40% following the initial strikes on Qatar's Ras Laffan. The subsequent attack on South Pars on 18–19 March pushed European gas benchmarks a further 6% in a single day, while the Henry Hub US natural gas futures contract gained 5.1%.

Winners and Losers

Most Severely Affected

- Import-dependent regions, particularly Europe and Asia – China, India, Japan, and South Korea account for 75% of Gulf oil exports and 59% of LNG exports from the region.
- Singapore and Taiwan are especially exposed due to their high dependence on Qatari LNG.
- Pakistan and Bangladesh face acute vulnerability given their price sensitivity and limited storage capacity.
- Households across all import-dependent nations, facing surging energy bills during a period of existing cost-of-living pressure.
- Energy-intensive industries including manufacturing, chemicals, and fertilisers.
- Iran itself – South Pars supplies 70–80% of Iran's domestic gas, threatening heating, electricity, and the petrochemical sector.
- Iraq – Iran supplies approximately one-third of Iraq's gas and power needs; Iraqi gas supplies halted as of 19 March 2026.

Who Benefits

- Major LNG exporters, particularly the United States (LNG exports forecast to rise 50% by 2027 vs. 2024) and Australia, whose exports become significantly more valuable.
- US LNG export infrastructure incentivised by sustained high prices. In 2025, LNG exports were already the fastest-growing use of US natural gas, comprising 14.1% of total demand.
- Energy companies able to sell gas at elevated global prices.

Comparison with Other Conflicts

The 2026 Iran war represents a qualitatively different category of disruption compared to prior events:

Event	Date	Duration	Oil Price Spike	Gas Price Impact	Resolution
Iranian drone strike (Saudi Arabia)	Sep 2019	Days	~+15%	Limited	Swift recovery
Suez Canal blockage	Mar 2021	6 days	Moderate	Minimal	Cleared
Russia-Ukraine War	Feb 2022	Ongoing	~+60% (crude)	European gas crisis	Partial; LNG pivot
Hamas attack on Israel	Oct 2023	Ongoing	~+5–10%	Limited	Regional
12-Day War (Iran)	Jun 2025	12 days	~+10%	Temporary	Prices reverted
US-Iran War (Op. Epic Fury)	Feb 2026	Ongoing	+50–73%	Catastrophic	Unresolved

Figure 5: Comparison of major geopolitical energy disruptions.
Sources: Center for American Progress, CSIS, Reuters.

Long-Term Implications

Repeated and now catastrophic geopolitical instability is likely to accelerate the following structural changes:

- Accelerated diversification of LNG supply, with growing reliance on the United States (which currently accounts for approximately 70% of global liquids supply growth since 2008), Australia, and emerging African exporters.
- Pressure on QatarEnergy's North Field expansion programme. The North Field East project – a 33 mtpa, four-train facility – has already been delayed and a further six to twelve months of slippage would remove significant volumes at a time buyers had anticipated lower prices for 2027–2028.
- Long-term questions about the shared reservoir arrangement governing South Pars/North Field between Iran and Qatar.
- Acceleration of the energy transition in import-dependent regions, as governments seek to reduce exposure to Middle Eastern instability

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- Structural re-pricing of war-risk insurance for Gulf energy assets, with sustained higher shipping premiums even after conflict ends.

Policy Responses

Governments worldwide have begun mobilising emergency responses. Relevant policy levers include:

- Strategic petroleum reserve releases to moderate crude price spikes.
- Diversification of gas supply towards US, Australian, and African LNG to reduce dependence on Gulf infrastructure.
- Emergency investment in LNG storage and import terminal capacity, particularly in Europe.
- Consumer protection measures including energy price subsidies and price caps (though this risk distorting markets and reducing efficiency signals).
- Long-term acceleration of renewable energy investment, reducing the structural demand for imported gas.

Natural gas remains both a critical energy source and an acute geopolitical risk. The conflict has reinforced the urgent need for supply diversification, improved energy security infrastructure, and sustained investment in alternative energy sources to reduce the exposure of households, industries, and governments to the consequences of future instability in the Middle East.

– **Charles Coyle**
Commodities Analyst

Conclusion

The 2026 US–Iran war has transformed a theoretical vulnerability into a real-world catastrophe for global energy markets. The Strait of Hormuz closure, combined with direct strikes on the world's largest gas field and its associated export infrastructure, has created the most severe supply disruption in the history of the global oil and gas market.

In just three weeks, Brent crude rose by more than 50%, European and Asian gas benchmarks rose by 40–50%, and approximately 17% of Qatar's LNG export capacity, serving roughly one-fifth of global supply was taken offline with a recovery timeline measured in years rather than weeks.

Sowing Scarcity: Fertiliser Supply and the Food Crisis Behind the Iran War

When joint US-Israeli attacks on Iran began in late February, global markets descended into chaos. The following closure of the Strait of Hormuz, through which one fifth of all oil and LNG resources are transported, sparked headlines about energy crisis. However, a far more threatening crisis has developed largely unnoticed, fertiliser supply. However, a far more dangerous and largely overlooked crisis has emerged: disruption to fertiliser supply, a threat that directly endangers global food production and security.

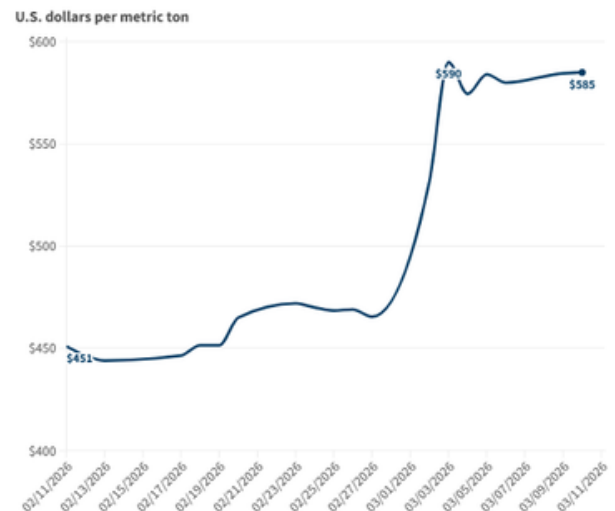
One third of the world's seaborne fertiliser trade moves through the Strait of Hormuz, including 35 percent of urea exports. One quarter of the world's sulphur is also produced in the region, which is an essential component for phosphate fertilisers. When this passage closed on the 2nd of March the export of these materials along with other fertilisers like potash from the Gulf countries was effectively brought to a halt.

While these direct supply disruptions are dangerous, the indirect consequences are even more damaging. LNG accounts for roughly 70 percent of the production costs of nitrogen-based fertilisers. The recent spike in gas prices as a result of the war has thus made production economically unviable resulting in the closure of hundreds of plants across South Asia, North Africa and Europe.

This contraction in supply comes just as international demand is predicted to surge with the sowing season in the Northern Hemisphere about to begin.

Pre-war vulnerabilities have also amplified the current crisis. The 2022 invasion of Ukraine was a huge hit to the sector, eliminating a large amount of output from Russia and Belarus. China has aggressively regulated its fertiliser exports since 2021 with

the aim of protecting domestic farmers. As the largest nitrogen fertiliser producer in the world, this is another constriction on the current supply.



NOLA Urea Price (Image Credit: Barchart)

It is approximated that half of global food production is dependant on synthetic fertilisers. This means that all nations will be severely impacted by a shortened supply.

However as seen in 2022, developing countries and regions which do not have access to their own means of production of fertilisers will be worse effected. These include areas like South America and Sub-Saharan Africa.

The Strait of Hormuz closure has created a food security crisis that cannot be ignored. Oil and LNG markets will adjust in the long run, however food production operates on fixed seasonal schedules that cannot be altered. There is no time for alternative suppliers to emerge or production to ramp up. As the war continues and the crisis deepens, it is clear that the fertiliser shortage is not a secondary effect but a primary threat to global food security.

– **Matthew Mckeown**
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